

Westpac Nowcast Q2 2026: First estimate

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Soft, sluggish growth to persist



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- Westpac-Now points to GDP growth of around 0.2%qtr in Q2 2026 (range: -0.16%qtr to 0.39%qtr), broadly in line with the sluggish 0.3%qtr outcome in Q1 2026.

- Based on historical patterns, the probability of a negative quarter in Q2 2026 sits at 27%. In other words, there is a one-in-four chance of a contraction in Q2 2026 — higher than the estimated 10% probability of a negative quarter in Q3 2026, where our framework suggests the economy is likely to be growing closer to normal or trend growth.
- The material step-down in Q1 GDP growth was consistent with Westpac-Now's final estimate ([here](#)), which was released well ahead of the partial economic indicators for that quarter.
- The Westpac Monthly Activity Index has been declining since November 2025, bringing the Index back to levels last seen in Q1 2025, when the RBA began easing policy to support demand. Despite this, there are signs that conditions are stabilising, with the fall in the Index in May less than half the decline recorded in April.
- The RBA may view this as an unavoidable cost of ensuring inflation makes a sustained return to the 2-3% target over a reasonable time-frame. However, a sharper-than-expected slowdown complicates the policy trade-off for inflation control. Westpac-Now's central projection has year-ended growth slowing to 1.7%yr in Q2 2026, below the RBA's expectation of 1.9%yr.

Westpac Now updates are released monthly, with details in Appendix A.

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